

# COMMERCIAL LEASE AGREEMENT

Mixed-Use Commercial Premises — IFRS 16

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- LANDLORD:** Central London Estates PLC, a public limited company incorporated in England and Wales (Company No. 03456789), with registered office at 1 Harbour Exchange, London E14 9GE
- TENANT:** Meridian Capital Group Ltd., a private limited company incorporated in England and Wales (Company No. 07891234), with registered office at 25 Canada Square, Canary Wharf, London E14 5LQ
- PREMISES:** 25 Canada Square, Canary Wharf, London E14 5LQ — Floors 18 to 20 (inclusive), comprising approximately 42,000 square feet of mixed-use commercial space
- STANDARD:** This Lease is governed and reported under **IFRS 16 Leases** as adopted by the Tenant for its financial reporting under IFRS as adopted in the United Kingdom.

## RECITALS

WHEREAS, Landlord is the freehold owner of the building known as 25 Canada Square, Canary Wharf, London E14 5LQ (the "Building"); and

WHEREAS, Tenant desires to lease Floors 18 to 20 of the Building for use as its London headquarters and principal trading offices; and

WHEREAS, this Lease constitutes a long-term commercial letting subject to the Landlord and Tenant Act 1954 (as modified by agreement of the parties) and to IFRS 16 Leases for the Tenant's IFRS financial reporting purposes; and

WHEREAS, the complexity of this Lease — including its multi-tranche renewal structure, bilateral break rights, and significant annual escalation — requires careful assessment under IFRS 16 paragraphs 19 and 26;

NOW, THEREFORE, in consideration of the mutual covenants herein, the parties agree as follows:

## §1 — Definitions

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**"Commencement Date"** — means 1 January 2020.

**"Expiry Date"** — means 31 December 2039.

**"Initial Term"** — means the period of twenty (20) years from the Commencement Date to the Expiry Date.

**"Premises"** — means Floors 18, 19, and 20 (inclusive) of 25 Canada Square, Canary Wharf, London E14 5LQ, comprising approximately 42,000 square feet of commercial mixed-use space.

**"Base Rent"** — means GBP £2,400,000 per annum, payable in equal monthly instalments of GBP £200,000.

**"Renewal Term"** — means each successive five (5) year period following the expiry of the Initial Term or the preceding Renewal Term, exercisable by the Tenant.

**"Break Date"** — means 31 December 2029, being the tenth anniversary of the Commencement Date.

**"Security Deposit"** — means GBP £400,000 as described in §6.1.

## §2 — Premises and Lease Term

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### §2.1 Lease Term

The Landlord hereby demises to the Tenant, and the Tenant takes from the Landlord, the Premises for a term of **twenty (20) years**, commencing on **1 January 2020** (the "Commencement Date") and expiring on **31 December 2039** (the "Expiry Date"), unless sooner determined in accordance with the terms of this Lease or extended by exercise of a Renewal Option pursuant to §3.

### §2.2 Description of Premises

The Premises comprise **Floors 18, 19, and 20** (inclusive) of the building known as **25 Canada Square, Canary Wharf, London E14 5LQ**, totalling approximately **42,000 square feet** of net internal area. The Premises include open-plan trading floors, private offices, meeting rooms, server rooms, and reception areas on each floor. The Tenant shall also have access to shared common areas, lifts, and building amenities.

## §3 — Renewal Options

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### §3.1 Options to Renew

The Tenant shall have **four (4) consecutive options to renew** this Lease (each a "Renewal Option"), each for a further period of **five (5) years**. If all four Renewal Options are exercised, the maximum potential total lease term would be **forty (40) years** from the Commencement Date (being the Initial Term of 20 years plus 4 x 5-year Renewal Terms totalling an additional 20 years). The Renewal Options may be summarised as follows:

| Option             | Period                   | Notice Deadline                  |
|--------------------|--------------------------|----------------------------------|
| 1st Renewal Option | 1 Jan 2040 – 31 Dec 2044 | By 31 Dec 2037 (24 months prior) |
| 2nd Renewal Option | 1 Jan 2045 – 31 Dec 2049 | By 31 Dec 2042 (24 months prior) |
| 3rd Renewal Option | 1 Jan 2050 – 31 Dec 2054 | By 31 Dec 2047 (24 months prior) |
| 4th Renewal Option | 1 Jan 2055 – 31 Dec 2059 | By 31 Dec 2052 (24 months prior) |

Each Renewal Option is exercisable by the Tenant delivering written notice to the Landlord not less than **twenty-four (24) months** prior to the expiry of the then-current term. Each Renewal Option must be exercised sequentially; no Renewal Option may be exercised if a preceding option has not been exercised or if the Tenant is in material default at the time of exercise.

## §4 — Use of Premises

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The Tenant shall use and occupy the Premises for the purposes of financial services, investment management, capital markets activities, and associated offices, administration, and ancillary uses consistent with a first-class Canary Wharf office building. The Tenant shall comply with all applicable laws, planning permissions, and building regulations and shall not permit any use that would adversely affect the character of the Building.

## **§5 — Rent**

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### **§5.1 Base Rent**

The Tenant shall pay to the Landlord as Base Rent the annual sum of **GBP £2,400,000** per annum (two million, four hundred thousand pounds sterling), payable by equal monthly instalments of **GBP £200,000** (two hundred thousand pounds sterling) each, due and payable in advance on the first day of each calendar month throughout the Initial Term and any Renewal Term. All payments shall be made in pounds sterling (GBP) by CHAPS or BACS transfer to the Landlord's designated sterling bank account.

### **§5.2 Payment Schedule**

Monthly rent payments of GBP £200,000 are due and payable on the first day of each calendar month. Time is of the essence in respect of all rent payments. Late payments shall accrue interest at 4% per annum above the Bank of England base rate from time to time, calculated on a daily basis.

### **§5.3 Rent Escalation**

Commencing on the first anniversary of the Commencement Date (being 1 January 2021) and on each subsequent anniversary of the Commencement Date throughout the Initial Term and any Renewal Term, the Base Rent shall be increased by **4% per annum**. Such escalation applies cumulatively on each anniversary of the Commencement Date. The Landlord shall provide written notice of the adjusted annual and monthly rent no later than thirty (30) days prior to each anniversary. For the avoidance of doubt: Year 1 rent = £2,400,000 p.a.; Year 2 = £2,496,000 p.a. (4% increase); Year 3 = £2,595,840 p.a.; and so forth compounding at 4% per annum on each anniversary.

## §6 — Security Deposit

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### §6.1 Security Deposit Amount and Terms

Upon execution of this Lease, the Tenant shall pay to the Landlord the sum of **GBP £400,000** (four hundred thousand pounds sterling) (being equivalent to two (2) months' Base Rent) as a security deposit (the "Security Deposit"). The Security Deposit shall be held by the Landlord as security for the performance by the Tenant of all monetary and non-monetary obligations under this Lease. The Security Deposit shall be held in a designated client account and shall not be commingled with the Landlord's other funds. The Security Deposit shall be returned to the Tenant within thirty (30) days following the expiry of this Lease (including all Renewal Terms) or earlier termination, subject to any lawful deductions. For IFRS 16 purposes, the Security Deposit is a refundable deposit and shall not be included in the calculation of lease payments.

## §7 — Operating Costs and IFRS 16 Accounting Provisions

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### §7.1 Right-of-Use Asset

The parties acknowledge that this Lease constitutes a lease within the scope of IFRS 16 Leases. The Tenant shall recognise a right-of-use (ROU) asset representing the Tenant's right to use the Premises for the lease term at the Commencement Date in accordance with IFRS 16 paragraph 22. The right-of-use asset encompasses **Floors 18–20 (inclusive) of 25 Canada Square, Canary Wharf, London E14 5LQ**, comprising approximately 42,000 square feet. The quantification of the ROU asset value is dependent upon the determination of the applicable discount rate and the assessment of which Renewal Options are reasonably certain to be exercised under IFRS 16 paragraph 19.

### §7.2 Discount Rate / Incremental Borrowing Rate

**The parties acknowledge that Tenant shall apply its incremental borrowing rate under IFRS 16 paragraph 26 at the Lease Commencement Date. No specific rate is stated in this agreement.** The determination of the appropriate incremental borrowing rate at 1 January 2020 is the Tenant's sole responsibility. The Tenant shall document its incremental borrowing rate methodology in accordance with IFRS 16 paragraphs 26–27 and apply such rate to measure the initial and subsequent lease liability. No representation is made by the Landlord as to the rate implicit in this Lease.

### §7.3 Premises Detail for IFRS 16

For IFRS 16 right-of-use asset identification: the leased asset comprises commercial mixed-use office premises at Floors 18, 19, and 20 of 25 Canada Square, Canary Wharf, London E14 5LQ, totalling approximately 42,000 square feet. The Tenant has substantive rights in relation to the identified asset under IFRS 16 paragraphs B13–B20. The annual escalation at 4% per annum constitutes a fixed increase and shall be included in the lease payments for the purposes of lease liability measurement under IFRS 16 paragraph 28.

## §8 — Insurance

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The Tenant shall maintain throughout the Term: (a) employer's liability insurance of not less than £10,000,000; (b) public liability insurance of not less than £20,000,000 per occurrence; (c) property

insurance for the Tenant's fit-out, equipment, and contents for full replacement value. All policies shall name the Landlord and its mortgagees as additional insureds. The Landlord shall maintain building insurance for the structure and common parts.

## **§9 — Termination**

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### **§9.1 Break Rights — Termination**

**Either party** may terminate this Lease after the expiry of **Year 10** (being **31 December 2029**) upon delivering **twenty-four (24) months' prior written notice** to the other party. Such notice may be served at any time on or after 1 January 2028 (being 24 months before the earliest break date of 31 December 2029), with the effective termination date being the date falling 24 months after service of notice, provided such date is not earlier than 31 December 2029. This break right is exercisable only once by either party and shall lapse if not exercised in accordance with the strict terms of this clause. Any break notice must be accompanied by payment of any outstanding rent and vacant possession of the Premises on the break date.

### **§9.2 Conditions for Break**

The break right in §9.1 shall only be effective if, on the break date: (a) all rent and other payments due under this Lease have been paid in full; (b) the Tenant gives up vacant possession of the Premises; and (c) the Tenant has remediated any material dilapidations. Failure to satisfy any condition shall render the break notice void.

## **§10 — Alterations**

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The Tenant may carry out alterations and fit-out works to the Premises subject to: (a) prior written consent of the Landlord (not to be unreasonably withheld); (b) compliance with all planning and building regulations; and (c) reinstatement obligations at the end of the Term as required by the Landlord. Major structural alterations require the Landlord's express written approval and all necessary statutory consents.

## **§11 — Assignment and Subletting**

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The Tenant may, with the Landlord's prior written consent (not to be unreasonably withheld), assign this Lease or underlet the whole or any part of the Premises. Any assignment shall not release the Tenant from its obligations unless the Landlord agrees in writing. Underlettings shall be at no less than market rent and on terms approved by the Landlord.

## **§12 — Default and Remedies**

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Events of default include: non-payment of rent for more than fourteen (14) days after due date; breach of any material covenant not remedied within sixty (60) days of written notice; insolvency or entry into administration by the Tenant. Upon an event of default, the Landlord may re-enter the Premises and forfeit this Lease subject to the Tenant's right to apply for relief from forfeiture under applicable English law.

## **§13 — Quiet Enjoyment**

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The Landlord covenants with the Tenant that, so long as the Tenant pays the rent reserved by this Lease and observes all covenants on the Tenant's part, the Tenant shall peaceably hold and enjoy the Premises throughout the Term without any interruption by the Landlord or any person claiming through or under the Landlord. This covenant is given subject to the Landlord's rights of entry for inspection upon reasonable prior notice.

## **§14 — General Provisions**

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### **§14.1 Governing Law**

This Lease shall be governed by and construed in accordance with the laws of **England and Wales**. The parties irrevocably submit to the exclusive jurisdiction of the courts of England and Wales. The Landlord and Tenant Act 1954 shall apply to this Lease unless contracted out by agreement of the parties in accordance with the Regulatory Reform (Business Tenancies) (England and Wales) Order 2003. Any disputes arising hereunder shall be subject to the jurisdiction of the English courts.

This Lease constitutes the entire agreement between the parties with respect to the Premises. All prior heads of terms, negotiations, representations, and warranties are superseded. This Lease may not be varied save by a deed executed by both parties. If any provision of this Lease is held invalid or unenforceable, the remaining provisions shall continue in full force and effect.

## §SIGNATURES — Execution as a Deed

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EXECUTED AS A DEED by the parties on the date of this Lease, in the presence of their respective authorised signatories. This Lease is executed in two counterparts, each of which shall constitute an original.

### LANDLORD

Central London Estates PLC

Signature: \_\_\_\_\_

Name: Director

Title: \_\_\_\_\_

Date: 1 January 2020

### TENANT

Meridian Capital Group Ltd.

Signature: \_\_\_\_\_

Name: Director

Title: \_\_\_\_\_

Date: 1 January 2020